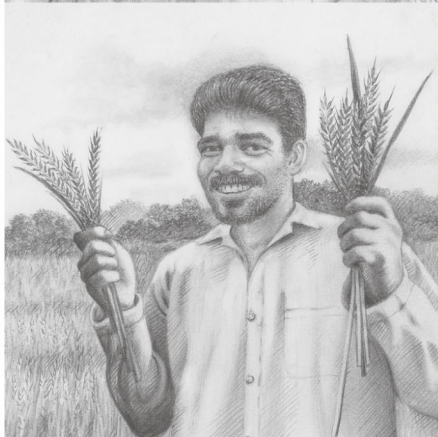




AGENTS OF PROSPERITY



**INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30TH JUNE 2022**

Consolidated Statement of Profit or Loss and Other Comprehensive Income

(Rs.Mns)	Three months ended 30th June			Year ended
	2022	2021	Change	31st March
	Un Audited	Un Audited		Audited
Continuing operations				
Revenue	2,387.65	729.11	227%	5,992.28
Cost of sales	(1,079.06)	(511.50)	-111%	(3,883.74)
Gross profit	1,308.59	217.61	501%	2,108.54
Other income	10.16	8.31	22%	57.20
Distribution expenses	(83.80)	(24.47)	-242%	(169.93)
Administration expenses	(95.76)	(81.65)	-17%	(366.16)
Other expenses	-	-	100%	(1.54)
Net finance income/(costs)	(610.59)	(35.05)	-1642%	(830.72)
Profit/(loss) before tax	528.60	84.75	524%	797.39
Income tax expense (charge)/reversal	(72.20)	(15.42)	-368%	(190.67)
Profit/(loss) from continuing operations	456.40	69.33	558%	606.72
Discontinued operations				
Profit/(loss) from discontinued operations (net of tax)	0.07	0.04	75%	0.14
Profit/(loss) for the period	456.47	69.37	558%	606.86
Other comprehensive income:				
Items that will never be reclassified to profit or loss				
Revaluation gain on right of use assets	-	-	-	36.84
Revaluation gain on property, plant and equipment	-	-	-	737.60
Deferred tax impact on revaluation of assets	-	-	-	(127.03)
Actuarial gain/(loss) on defined benefit obligations	-	-	-	(4.47)
Deferred tax impact on actuarial loss	-	-	-	0.80
Other comprehensive income, net of tax	-	-	-	643.74
Total comprehensive income	456.47	69.37	558%	1,250.60
Profit attributable to :				
Owners of the parent	455.34	72.69	526%	618.91
Non-controlling interests	1.13	(3.32)	134%	(12.05)
	456.47	69.37	558%	606.86
Total comprehensive income attributable to :				
Owners of the parent	455.34	72.69	526%	1,262.65
Non-controlling interests	1.13	(3.32)	134%	(12.05)
	456.47	69.37	558%	1,250.60
Basic earnings/(loss) per share (Rs.)	0.93	0.18	415%	1.52

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

Company Profit or Loss and Other Comprehensive Income

(Rs.Mns)	Three months ended 30th June			Year ended
	2022	2021	Change	31st March
	Un Audited	Audited		2022
				Audited
Revenue	1,961.86	367.42	434%	4,408.78
Cost of sales	(1,014.23)	(289.46)	-250%	(3,028.02)
Gross profit	947.63	77.96	1116%	1,380.76
Other income	11.07	10.28	8%	209.60
Distribution expenses	(37.77)	(19.74)	-91%	(119.33)
Administration expenses	(66.90)	(54.77)	-22%	(252.57)
Net finance income/(costs)	(616.64)	(34.73)	-1676%	(824.22)
Profit/(loss) before tax	237.39	(21.00)	1230%	394.24
Income tax expense (charge)/reversal	(56.41)	2.64	-2237%	(72.64)
Profit/(loss) for the period	180.98	(18.36)	1086%	321.60
Other comprehensive income:				
Items that will never be reclassified to profit or loss				
Revaluation gain on right of use assets	-	-	-	21.23
Revaluation gain on property, plant and equipment	-	-	-	643.99
Deferred tax impact on revaluation of	-	-	-	(107.37)
Actuarial gain/(loss) on defined benefit obligations	-	-	-	(4.45)
Deferred tax impact on actuarial loss	-	-	-	0.80
Other comprehensive income, net of tax	-	-	-	554.20
Total comprehensive income	180.98	(18.36)	1086%	875.80
Profit attributable to :				
Owners of the parent	180.98	(18.36)	1086%	321.60
Non-controlling interests	-	-	-	-
	180.98	(18.36)	1086%	321.60
Total comprehensive income attributable to :				
Owners of the parent	180.98	(18.36)	1086%	875.80
Non-controlling interests	-	-	-	-
	180.98	(18.36)	1086%	875.80
Basic earnings/(loss) per share (Rs.)	0.37	(0.05)	911%	0.79

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

AgStar PLC
Statements of Financial Position



	Group			Company		
	As at 30/06/2022	As at 30/06/2021	As at 31/03/2022	As at 30/06/2022	As at 30/06/2021	As at 31/03/2022
(Rs.Mns)	Un Audited	Un Audited	Audited	Un Audited	Un Audited	Audited
ASSETS						
Non-current assets						
Property, plant and equipment	3,286.86	2,445.41	3,299.49	2,955.52	2,186.19	2,949.09
Right of use asset	73.68	6.99	75.92	22.81	1.81	23.00
Intangible assets and goodwill	110.36	111.73	110.74	3.51	4.99	3.88
Investment property	-	-	-	196.52	165.33	211.59
Investments in subsidiaries	-	-	-	184.78	184.78	184.78
Deferred tax assets	4.19	8.49	4.19	-	-	-
	3,475.09	2,572.62	3,490.34	3,363.14	2,543.10	3,372.34
Current assets						
Inventories	2,012.18	644.95	2,298.28	1,684.56	329.10	1,962.70
Trade and other receivables	1,208.32	264.36	362.62	575.22	169.79	235.01
Subsidy receivable	2,346.82	4,311.65	3,038.36	2,152.85	4,117.82	2,844.39
Amount due from related companies	-	-	-	864.23	388.91	602.61
Current tax receivable	1.69	1.69	2.98	1.69	1.69	1.69
Cash and cash equivalents	1,163.06	689.44	409.41	801.88	565.59	72.16
	6,732.07	5,912.09	6,111.65	6,080.43	5,572.90	5,718.56
Assets classified as held for sale	180.88	180.65	180.82	-	-	-
Total current assets	6,912.95	6,092.74	6,292.47	6,080.43	5,572.90	5,718.56
Total assets	10,388.04	8,665.36	9,782.81	9,443.57	8,116.00	9,090.90
EQUITY AND LIABILITIES						
Equity						
Stated capital	2,007.85	1,204.09	2,007.85	2,007.85	1,204.09	2,007.85
Revaluation reserve	1,466.39	818.98	1,466.39	888.88	331.03	888.88
Retained earnings	2,628.43	1,695.54	2,173.09	2,524.07	2,071.80	2,343.09
Equity attributable to owners of the parent	6,102.67	3,718.61	5,647.33	5,420.80	3,606.92	5,239.82
Non-controlling interests	31.78	39.38	30.65	-	-	-
Total equity	6,134.45	3,757.99	5,677.98	5,420.80	3,606.92	5,239.82
Non-current liabilities						
Employee benefits	39.55	33.77	42.56	39.47	33.72	42.48
Deferred tax liabilities	603.05	343.85	546.64	547.83	309.57	491.42
Deferred income	-	0.28	-	-	0.28	-
Loans and borrowings	122.65	351.92	151.00	122.65	340.00	151.00
Lease liability	24.72	6.26	24.52	1.85	1.81	2.02
	789.97	736.08	764.72	711.80	685.38	686.92
Current liabilities						
Trade and other payables	1,640.96	3,347.19	3,043.46	1,533.21	2,995.02	2,880.25
Loans and borrowings	1,752.72	789.78	180.40	1,751.42	789.78	176.28
Lease liability	8.60	0.57	8.90	0.26	0.26	0.03
Amount due to related companies	-	-	-	-	31.73	54.65
Current tax liabilities	15.21	25.78	47.55	-	-	-
Bank overdrafts	45.86	7.61	59.53	26.08	6.91	52.95
	3,463.35	4,170.93	3,339.84	3,310.97	3,823.70	3,164.16
Liabilities classified as held for sale	0.27	0.36	0.27	-	-	-
Total current liabilities	3,463.62	4,171.29	3,340.11	3,310.97	3,823.70	3,164.16
Total liabilities	4,253.59	4,907.37	4,104.83	4,022.77	4,509.08	3,851.08
Total equity and liabilities	10,388.04	8,665.36	9,782.81	9,443.57	8,116.00	9,090.90

Net assets per share (Rs.) 12.52 11.44 11.58 11.12 11.10 10.75

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

I certify that these financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.

Sgd.

M R M Rizny
Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board;

Sgd.

V G S S Kotakadeniya
Chairperson

August 15, 2022

Sgd.

A P Weerasekera
Managing Director

Statement of Changes in Equity

(Rs.Mns)

	Group				
	Equity attributable to owners of the parent				Non-controlling interests
	Stated capital	Revaluation reserve	Retained earnings	Total	
Balance as at 1st April 2021	1,204.09	818.98	1,622.85	3,645.92	42.70
Profit for the year	-	-	72.69	72.69	(3.32)
Other comprehensive income for the year	-	-	-	-	-
Total comprehensive income for the year	-	-	72.69	72.69	(3.32)
Balance as at 30th June 2021	1,204.09	818.98	1,695.54	3,718.61	39.38
Balance as at 1st April 2022	2,007.85	1,466.39	2,173.09	5,647.33	30.65
Profit for the year	-	-	455.34	455.34	1.13
Other comprehensive income for the year	-	-	-	-	-
Total comprehensive income for the year	-	-	455.34	455.34	1.13
Balance as at 30th June 2022	2,007.85	1,466.39	2,628.43	6,102.67	31.78

	Company			
	Stated capital	Revaluation reserve	Retained earnings	Total equity
Balance as at 1st April 2021	1,204.09	331.03	2,090.16	3,625.28
Profit for the year	-	-	(18.36)	(18.36)
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	(18.36)	(18.36)
Balance as at 30th June 2021	1,204.09	331.03	2,071.80	3,606.92
Balance as at 1st April 2022	2,007.85	888.88	2,343.09	5,239.82
Profit for the year	-	-	180.98	180.98
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	180.98	180.98
Balance as at 30th June 2022	2,007.85	888.88	2,524.07	5,420.80

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

AgStar PLC
Statement of Cashflows



For the period ended 30th June, (Rs.Mns)	Group		Company	
	2022	2021	2022	2021
	Un Audited	Un Audited	Un Audited	Un Audited
Cash flow from operating activities				
Profit before tax from continuing operations	528.60	84.75	237.39	(21.00)
Profit/(loss) before tax from discontinued operations	0.07	0.04	-	-
Adjustment for:				
Depreciation	27.44	17.38	23.39	13.88
Amortization on intangible assets	0.38	0.36	0.37	0.35
Amortization on right-of-use asset	2.78	0.20	0.19	0.01
Interest income	(23.27)	(1.27)	(14.82)	(0.51)
Interest expenses	39.19	24.54	38.41	22.94
Interest expenses on lease (ROU)	0.65	0.15	0.07	0.07
Amortisation of deferred income	-	(0.37)	-	(0.37)
Provision/(reversal) of impairment on trade receivables	5.07	(1.86)	(0.32)	(0.46)
Operating profit before working capital changes	580.91	123.92	284.68	14.91
Changes in:				
Decrease/ (increase) in inventories	286.10	247.64	278.14	50.38
Decrease/ (increase) in trade and other receivables	(858.46)	134.04	(340.46)	62.82
(Increase)/decrease in subsidy receivable	691.55	(291.23)	691.55	(97.40)
Decrease in amounts due from related companies	-	-	(261.62)	68.07
(Decrease)/ increase in trade and other payables	(1,396.07)	(216.48)	(1,347.06)	(270.00)
Increase/(decrease) in amounts due to related companies	-	-	(54.65)	31.73
Cash (used in)/ generated from operating activities	(695.97)	(2.11)	(749.42)	(139.49)
Interest expense paid	(39.19)	(24.54)	(38.41)	(22.94)
Income tax paid	(46.85)	(2.28)	-	-
Employee benefit paid	(3.01)	(0.08)	(3.01)	(0.08)
Net cash flow (used in)/ generated from operating activities	(785.02)	(29.01)	(790.84)	(162.51)
Cash flows from investing activities				
Interest income received	24.54	0.87	15.40	0.29
Acquisition of property, plant and equipment	(2.96)	(2.26)	(2.89)	(1.86)
Addition to work in progress	(11.85)	(57.45)	(11.85)	(55.56)
Acquisition of intangible assets	-	(0.75)	-	(0.75)
Net cash used in investing activities	9.73	(59.59)	0.66	(57.88)
Cash flows from financing activities				
Long term borrowings - net	(46.01)	337.35	(43.35)	340.00
Short term borrowings - net	1,589.97	28.95	1,590.13	96.96
Repayment of lease liabilities	(1.29)	-	-	-
Net cash from / (used in) financing activities	1,542.67	366.30	1,546.78	436.96
Net cash increase/(decrease) in cash and cash equivalents	767.38	277.70	756.60	216.57
Cash and cash equivalents at the beginning of the year	350.88	405.12	19.20	342.11
Cash and cash equivalents at the end of the period	1,118.26	682.82	775.80	558.68
Analysis of cash and cash equivalent at the end of the period				
Cash at bank and in hand	1,113.44	626.00	752.26	520.74
Short term deposits	49.62	63.44	49.62	44.85
Bank overdrafts	(45.86)	(7.61)	(26.08)	(6.91)
Cash and cash equivalents classified as held for sale	1.06	0.99	-	-
	1,118.26	682.82	775.80	558.68

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

AgStar PLC
Notes to the Financial Statements



1 Basis of Preparation

The interim condensed financial statements have been prepared in compliance with Sri Lanka Accounting Standards LKAS 34 - Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2022.

The presentation and classification of the financial statements of the previous year have been amended, where relevant, for better presentation and to be comparable with those of the current year.

The interim condensed financial statements are presented in Sri Lankan Rupees and all values are in Millions, unless otherwise stated.

2 Segment information

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorised under this.

Non-trading - This segment includes the items which are further processed before sold.

Rs. Mns	Three months ended 30th June 2022			Three months ended 30th June 2021		
	Trading	Non-trading	Total	Trading	Non-trading	Total
Revenue	1,116.13	1,271.52	2,387.65	398.14	330.97	729.11
Cost of sales	(445.76)	(633.30)	(1,079.06)	(281.14)	(230.36)	(511.50)
Gross profit	670.37	638.22	1,308.59	117.00	100.61	217.61
<i>Unallocated expenses</i>						
Distribution expenses			(83.80)			(24.47)
Administrative expenses			(95.76)			(81.65)
Other expenses			-			-
Other income			10.16			8.31
Operating profit			1,139.19			119.80
Net finance income/(cost)			(610.59)			(35.05)
Profit before tax			528.60			84.75
Income tax expense (charge)/reversal			(72.20)			(15.42)
Profit for the period from continuing operations			456.40			69.33

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided in this report.

3 Stated Capital

		Number of shares	Value of ordinary shares Rs.
As at 30th June 2022	- voting	461,289,465	1,955,067,333
	- non-voting	26,210,535	52,789,500
		487,500,000	2,007,856,833
As at 30th June 2021	- voting	307,526,310	1,186,251,558
	- non-voting	17,473,690	17,842,120
		325,000,000	1,204,093,678

4 Events after the reporting date

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements

5 Going concern and macro-economic Impact

“In determining the basis of preparing the financial statements for the period ended 30 June 2022, based on available information, the management has assessed the effects of the COVID-19 pandemic and macroeconomic conditions and its effects on the each business segment where Group has an interest and the appropriateness of the use of the going concern basis.

The management has formed reasonable judgement that the Group companies have adequate resources to continue its business operations for the foreseeable future monitoring its business performance and continuity by adopting risk mitigation initiatives at each company level.

6 Commitments

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below,

Description	Estimated cost	Sq.ft	Completion %
Construction of new warehouse in Ekala	Rs. 380 Mn	85,000	95%
Renovation of bag store and workshop building in Ekala	Rs. 11 Mn	3,895	80%
Modifications on admin building entrance and parking	Rs. 8.6 Mn	-	70%
Construction of warehouse with lab in Polannaruwa	Rs. 35.3 Mn	8,900	75%

7 Contingent liabilities

There are no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements.

Corporate guarantee issued by AgStar PLC

The guarantees given to banks on behalf of AgStar Seeds (Pvt) Limited, AgStar Cropcare (Pvt) Limited, AgStar Grains (Pvt) Limited and Mahaweli Agro Trading (Pvt) Limited amounting to Rs.212 Mn, Rs.129 Mn, Rs.860 Mn and Rs.150 Mn respectively.

The guarantees given to local suppliers amounting to Rs.11.7 Mn.

8 Twenty Major Share holders -Voting shares

As at 30/06/2022

Name of shareholders	Number of shares	Holding %
Iconic Trust (Private) Limited	201,548,404	43.69%
L O L C Holdings PLC	90,320,250	19.58%
Amana Bank PLC/Browns Investments PLC	60,450,000	13.10%
Mr. A.P. Weerasekera	11,161,020	2.42%
Mr. N.G.R. Karunaratne	10,657,180	2.31%
Browns Investments PLC	7,370,057	1.60%
Mr. D.N.N. Lokuge	5,658,969	1.23%
Mr. W.D.N.H. Perera	3,542,165	0.77%
Mr. W.A.P. Perera	3,393,766	0.74%
F L M C Plantations (Private) Limited	3,150,000	0.68%
Deutsche Bank Ag As Trustee To Capital Alliance Quantitative Equity Fund	3,000,000	0.65%
Mr. G.B.D. Tilakaratne	2,131,191	0.46%
Mrs. A.C.P. Irugalbandara	1,773,000	0.38%
Hatton National Bank PLC/JN Lanka Holdings Company (Pvt) Ltd	1,552,366	0.34%
Seylan Bank PLC/ K.S. Balasuriya	1,500,000	0.33%
Ventura Crystal Investments Ltd	1,350,000	0.29%
Mrs. N.K. Samaraweera	1,344,426	0.29%
Mr. G.S.N. Peiris	1,195,857	0.26%
Dr. S.S.L. Perera	1,040,188	0.23%
Seylan Bank PLC/ W.D.N.H. Perera	1,020,000	0.22%
Total	413,158,839	89.57%

9 Share holding -Non-voting shares

As at 30/06/2022

Name of shareholders	Number of shares	Holding %
Iconic Trust (Private) Limited	17,471,014	66.66%
Mr. A.P. Weerasekera	8,736,825	33.33%
Mr. A.B. Weerasekera	1,000	-
Mr. M.V.M. Gunasekara	520	-
Mr. S.P. Sedara	314	-
Mr. W.A.R.W. De Silva	302	-
Mr. W.J.M.P.A.C. Silva	200	-
People'S Merchant Finance PLC/D.Amerasinghe	142	-
Mr. K.A.D.A. Meththasena	130	-
Mr. P. Sivapathasuntharam - Joint: Mr. S. Sanjieth	34	-
Mr. A.S.Y. Abeywardena	10	-
Mrs. H.S. Egodawaththa	10	-
Mr. J.A.J.R. Gunaratne	10	-
Mr. S.M.C.P. Senavirathna	6	-
Mr. D.A.D.M. Dekumpitiya	5	-
Mr. U.D.T.M.R. Perera	5	-
Mr. R.C.M. Dasanayaka	2	-
Dialog Finance PLC/S.C. Haputhanthree	1	-
Mr. T.S.P. Fernando	1	-
Mr. D.P.T.S. Lakshan	1	-
	26,210,532	99.99%

AgStar PLC
Notes to the Financial Statements



10 Directors' share holdings

		As at 30/06/2022	As at 30/06/2021
		Number of shares	Number of shares
Ms. V. G. S. S Kotakadeniya (Chairperson)		-	-
Mr. A.P. Weerasekera (Managing Director)	-Voting Shares	11,161,020	7,327,800
	-Non-Voting Shares	8,736,825	5,824,550
Mr. D.S. K.Amarasekara		-	-
Ms. S. Wickramasinghe		-	-
Mr. R.K.A. Ranaweera		-	-
Dr. (Mrs) A.D.N. de Zoysa		-	-
Mr. W. K. D. T. Abeyrathne		-	-
Mr. E. A. D. N. J. Perera		-	-
Ms. T. A. P. Weerasinghe		-	-
Mr. P. Weerasingha		-	-
Mr. M. S. Gunawardana		-	-

11 Public holding

The percentage of public holding in voting and non-voting shares as at 30th June 2022 were,

	Public holding %	No of Shareholders	Float adjusted market capitilisation
-Voting Shares	19.56%	2,837	Rs. 568.44 Mn
-Non-Voting Shares	0.01%	21	Rs. 0.013 Mn

The float adjusted market capitalization of the Company falls under option-2 as per section 7.14.1 (b) of the Listing Rules of Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

12 Market prices

	Voting Rs.	Non-voting Rs.
Highest during the period	8.60	5.00
Lowest during the period	5.00	5.00
As at 30th June 2022	6.30	5.00

The Company

AgStar PLC

Legal Form

A public Quoted Company incorporated
in Sri Lanka on 25th June 2002

Company Registration No.

PV1618 PB/PQ

Registered Office

AgStar PLC
No.93, Minuwangoda Road, Ekala, Ja-Ela.
Tel: +94 11 4812424
Fax: +94 11 4810706
E-mail: info@agstaragri.com
Website: www.agstaragri.lk

Board of Directors

Ms. V. G. S. S Kotakadeniya
- Chairperson/ Non Executive Director
Mr. A.P. Weerasekera
- Managing Director
Mr. D.S.K. Amarasekera
- Non Executive Director
Mr. R.K. Athula Ranaweera
- Independent Non Executive Director
Dr. (Mrs) A.D.N. de Zoysa
- Independent Non Executive Director
Ms. S. Wickramasinghe
- Independent Non Executive Director
Mr. W. K. D. T. Abeyrathne
- Executive Director
Mr. E. A. D. N. J. Perera
- Non Executive Director
Ms. T. A. P. Weerasinghe
- Non Executive Director
Mr. P. Weerasingha
- Executive Director
Mr. M. S. Gunawardana
- Non Executive Director

Secretaries

LOLC Corporate Services (Private) Limited
100/1, Sri Jayawardenapura Mawatha, Rajagiriya
Tel: +94 115 063 000
Fax: +94 112 307 380

Registrars

SSP Corporate Services (Private) Limited
101, Inner Flower Road, Colombo 03
Tel: +94 112 573 894
Fax: +94 112 573 609
E-mail: sspsec@sltnet.lk

Auditors

KPMG
P O Box 186
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03

Bankers

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
MCB Bank Limited
Nation Trust Bank PLC
NDB Bank PLC
Peoples' Bank
Public Bank
Sampath Bank PLC
Seylan Bank PLC

Legal Consultants

Paul Ratnayake Associates
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